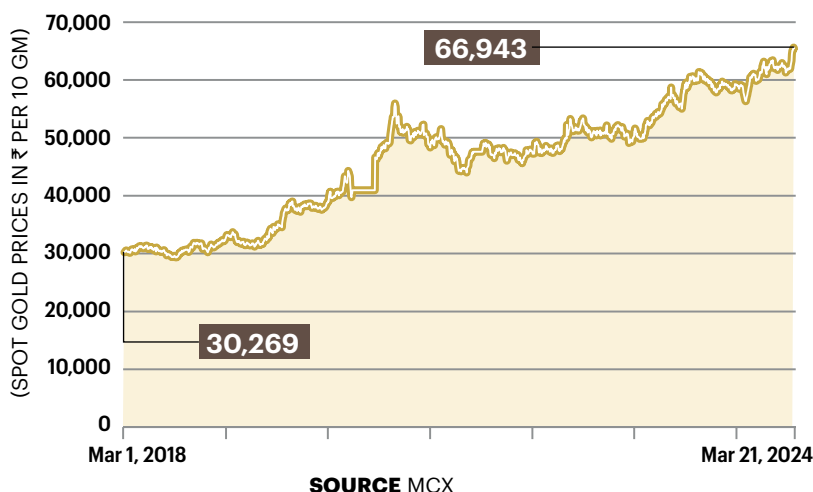


“The geopolitical landscape also looms large in the context of gold pricing. Gold tends to gain traction in times of heightened geopolitical tensions”

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UPWARD TRAJECTORY

- Historically, gold prices have risen after monetary easing
- Gold has seen a robust global recovery from the Covid-19 downturn



itching for a trigger,” says a World Gold Council report.

But should there be an atmosphere of stability, investors may see limited returns. Periods of stability have coincided in the past with static gold prices. Research indicates that between 1992 and 2003, gold prices remained more or less within the ₹4,300–5,000 bracket. The returns generated were, in fact, lower than those from savings accounts and provident funds, according to Adhil Shetty, CEO of fintech platform BankBazaar.com. But since 2003, returns have surged more than 1,000%.

THE OUTLOOK

Harshad Chetanwala, Co-founder of financial planning firm MyWealthGrowth.com and a Certified Financial Planner, says investors are often lured to the yellow metal when prices rise. Such an approach might not yield the

desired outcome, as gold prices can remain static for long periods.

Moreover, going overweight on gold may prove damaging. Chetanwala suggests that investors refrain from investing in gold jewellery because of the costs associated with it. He urges investors to build a gold portfolio gradually, as it is essential for diversification, and not worry about price fluctuations.

“Given gold’s current price trend, it is advisable to include gold in your investment portfolio, keeping a recommended exposure of 10–15%,” notes Shetty. However, when considering gold purchases during price surges, investors must align their decision with financial goals and understand the potential risks.

Chetanwala suggests investing in gold through sovereign gold bonds (SGBs), underscoring the benefits of the annual interest and exemption from capital gains if held until maturity. He believes it’s an

optimal investment choice for those who are not overly worried about the maximum limit of 4 kg per PAN.

Mrin Agarwal, a financial educator, agrees. She favours SGBs over physical gold because it doesn’t entail costs, offers tax-free returns on maturity, and doesn’t face storage or safety issues. She recommends a 15% allocation to gold in a portfolio and says investors must be clear about the holding period of the investment. If the holding period is eight years or more, SGBs are the better choice, whereas gold ETFs are recommended for shorter holding periods.

Chasing short-term gains in such uncertain times with a volatile asset like gold is at present may not be the ideal investment choice. But considered in the cold light of reason, it is essential for a diversified portfolio. **BT**

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